

Financial Operating System for Nigerian Informal Businesses

Product concept, MVP, architecture, monetization, regulatory considerations and growth roadmap

A practical blueprint for building a digital back office for Nigerian microbusinesses.

Prepared: September 21, 2026

Executive Summary

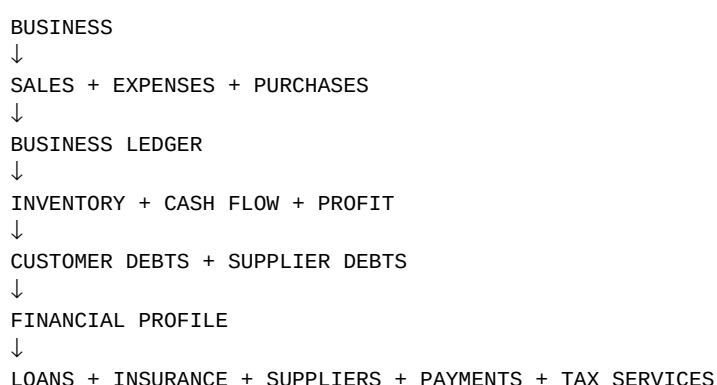
The proposed product is a digital business operating system for Nigerian microbusinesses. Rather than starting as another wallet or payment app, it would help merchants record and understand sales, expenses, inventory, customer debts, supplier debts, profit and cash flow. Over time, the structured business history could support integrations with payments, banking, lending, insurance, suppliers, accounting and tax services.

Core proposition: “Run your entire business from your phone.”

The long-term vision is a financial operating system, but the initial product should solve a concrete operational problem first.

1. What You Are Building

Think of the product as the digital back office of a Nigerian microbusiness.



The business ledger is the foundation. Every important action should create structured financial and operational data.

2. Recommended MVP

Keep the first version small. The MVP should let a merchant operate the essential parts of a business without needing accounting expertise.

Module	Core capability
Dashboard	Revenue, expenses, profit, cash, debts and inventory value
Sales	Record sales, payment method and credit transactions
Inventory	Products, quantities, cost price, selling price and stock value
Expenses	Record operating expenses and categories
Customers	Customer profiles, balances and payment history
Customer debt	Track outstanding balances and repayment history

3. Sales and Automatic Inventory

A sale should not merely become a sales record. It should automatically update inventory and the financial ledger.

Example:

Sale: 2 chargers × ₦9,000 = ₦18,000

Inventory: charger stock 20 → 18

Payment: cash / transfer / POS / credit

If credit: customer receivable increases by the unpaid amount.

4. Inventory Management

Each product can store stock quantity, cost price, selling price, stock value, units sold and estimated gross profit.

Example product:

Oraimo Charger

Stock: 18 units

Cost price: ₦6,000

Selling price: ₦9,000

Stock value: ₦108,000

Units sold: 42

Revenue: ₦378,000

Estimated gross profit: ₦126,000

5. Expenses and Receipt Intelligence

Expense entry should be extremely fast. A later AI feature could allow a merchant to photograph a receipt, extract the merchant, amount, date and category, then ask the user to confirm the transaction.

6. Customer Credit / Debt Management

Customer debt can be a major feature because informal merchants often sell on credit. The system should track individual transactions, outstanding balance, repayments and reminders.

Customer: Chinedu Okafor

Outstanding: ₦72,000

₦25,000 – 04 Sept

₦17,000 – 09 Sept

₦30,000 – 14 Sept

Next reminder: 18 Sept

7. Supplier Management

The same principle should apply to suppliers: purchases, amounts owed, purchase history and upcoming obligations.

8. The Business Financial Graph

After months of use, the platform can build a structured representation of how a business operates: revenue, margins, inventory, customers, suppliers, expenses, purchasing patterns and payment history.

Example business profile:

Monthly revenue: ₦3.2m

Monthly expenses: ₦2.4m

Gross margin: 25%

Inventory: ₦4.8m

Customers: 312

Average daily sales: ₦105k

Customer credit: ₦340k

Supplier purchases: ₦1.8m/month

Business history: 18 months

9. Embedded Financial Services

Once the platform has reliable business records, it can potentially connect merchants to licensed partners for financing, insurance, payments, banking and supplier services. The software company does not necessarily need to become the lender, insurer or bank.

```
BUSINESS DATA
↓
FINANCIAL PROFILE
↓
LICENSED PARTNERS
■■■ Financing
■■■ Insurance
■■■ Payment services
■■■ Banking / account services
```

10. Tax and Formalisation

Tax functionality should initially be positioned as a consequence of good recordkeeping rather than the main selling point. The product can organize transaction records and eventually integrate with appropriate tax/accounting services.

11. Technology Architecture

A practical initial stack could be:

```
Mobile: React Native + Expo + TypeScript
Navigation: Expo Router
State: Zustand
API client: Axios
Backend: Node.js / NestJS
Database: PostgreSQL
Cache / queues: Redis
Cloud: AWS, Azure or GCP
Realtime: WebSocket where useful
```

The exact stack can change. The critical architectural decision is to make the ledger and synchronization model reliable.

12. Database Philosophy

Design around financial and operational events rather than around screens. This makes reporting, reconciliation, auditing and future integrations easier.

```
SALE_CREATED → ■25,000
PAYMENT_RECEIVED → ■15,000
CUSTOMER_CREDIT_CREATED → ■10,000
INVENTORY_DECREASED → 2 units
```

13. Offline-First Design

Offline capability is important. A merchant should be able to record a sale without an active internet connection. Transactions can be stored locally and synchronized with the cloud when connectivity returns.

```
Mobile local database
↓
Sync engine
↓
Cloud API
```

↓
PostgreSQL

14. WhatsApp as an Interface

WhatsApp can reduce friction for customer debt reminders and, later, potentially support conversational transaction entry.

15. Practical AI Features

AI should be applied after reliable structured transaction data exists. Useful applications include receipt extraction, daily summaries, inventory forecasts, unusual-expense detection, cash-flow warnings and natural-language business questions.

Merchant: "How much did I make selling chargers last month?"

System: "You generated ₦842,000 in charger sales, with an estimated gross profit of ₦214,000."

16. Initial Target Market

Do not launch for every type of informal business simultaneously. A focused first vertical could be phone/accessories retailers because they have many SKUs, frequent transactions, inventory needs, supplier relationships and customer-credit use cases.

Possible expansion: phone accessories → fashion → beauty/cosmetics → electronics → spare parts → wholesalers → restaurants → small manufacturers.

17. Monetisation

A freemium SaaS model can provide basic sales, inventory and expense tracking, with paid tiers for advanced reports, employees, multiple branches, backups, analytics and AI. Later revenue could also come from financial-service and supplier partnerships, subject to the applicable commercial and regulatory arrangements.

18. Regulatory Architecture

There is an important distinction between recording business finances and performing regulated financial activities such as holding funds, providing payments or lending. The initial product can focus on software and data while integrating regulated services through appropriately licensed partners.

Because the platform may process personal and financial information, privacy, security, access controls, audit logging, consent, data minimization, retention and incident-response processes should be considered from the beginning. Nigerian data-protection requirements should be reviewed with qualified legal/compliance professionals before launch.

19. Development Roadmap

Stage	Focus	Key deliverables
1	Merchant MVP	Registration, business profile, products, inventory, sales, expenses, customers, debt and dashboard
2	Business management	Suppliers, purchases, supplier debt, profit, cash flow, receipts, exports and offline mode
3	Scale	Employees, roles, multiple devices/branches, barcode scanning, WhatsApp and analytics

Stage	Focus	Key deliverables
4	Financial infrastructure	Bank feeds, payment integrations, reconciliation and partner integrations
5	Financial identity	Business history, revenue, inventory, cash flow and other structured indicators
6	Ecosystem	Financing, insurance, supplier marketplace and broader business services through partners

20. Potential Product Experience

HOME

Revenue this month: ₦4,820,000

Gross profit: ₦1,120,000

Expenses: ₦740,000

Cash: ₦680,000

Inventory: ₦3,840,000

THINGS YOU SHOULD KNOW

- 3 products may run out within 7 days
- Customer debts increased 22% this month
- Revenue increased 14%
- Supplier payment of ₦420k due Friday

21. The Long-Term Moat

The interface itself is not the moat. Potential defensibility comes from accumulated transaction history, merchant relationships, structured business intelligence, integrations with financial infrastructure and switching costs created by years of business records.

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Business records
↓
Business management
↓
Financial intelligence
↓
Financial identity
↓
Embedded financial services
↓
Business ecosystem

```

22. Recommended First Experiment

Before investing in a large engineering build, interview approximately 30–50 real Nigerian informal merchants. Test the problem, not the technology. Ask what they currently struggle to know about their business and observe how they record sales, expenses, inventory and debts.

A particularly important validation question is whether merchants will consistently record enough accurate transactions for the product to become useful. The CBN-published research referenced in the original concept discusses barriers including digital literacy, trust and incentives, reinforcing the importance of tangible value to merchants.

23. Suggested North-Star Product

Short-term promise: Run your entire business from your phone.

Long-term vision: Become the financial operating system and business infrastructure layer for Nigerian

microbusinesses.

Sources and Further Reading

CBN-published research: “Digital Financial Services and Informal Sector Formalisation in Nigeria” — Central Bank of Nigeria Bullion, Vol. 50, Issue 2 (2026).

Nigeria Data Protection Commission: Nigeria Data Protection Act 2023 and related regulatory information.

Note: Regulatory, tax, lending, payments and financial-services decisions should be validated against current Nigerian requirements and with qualified professional advisers before implementation.